

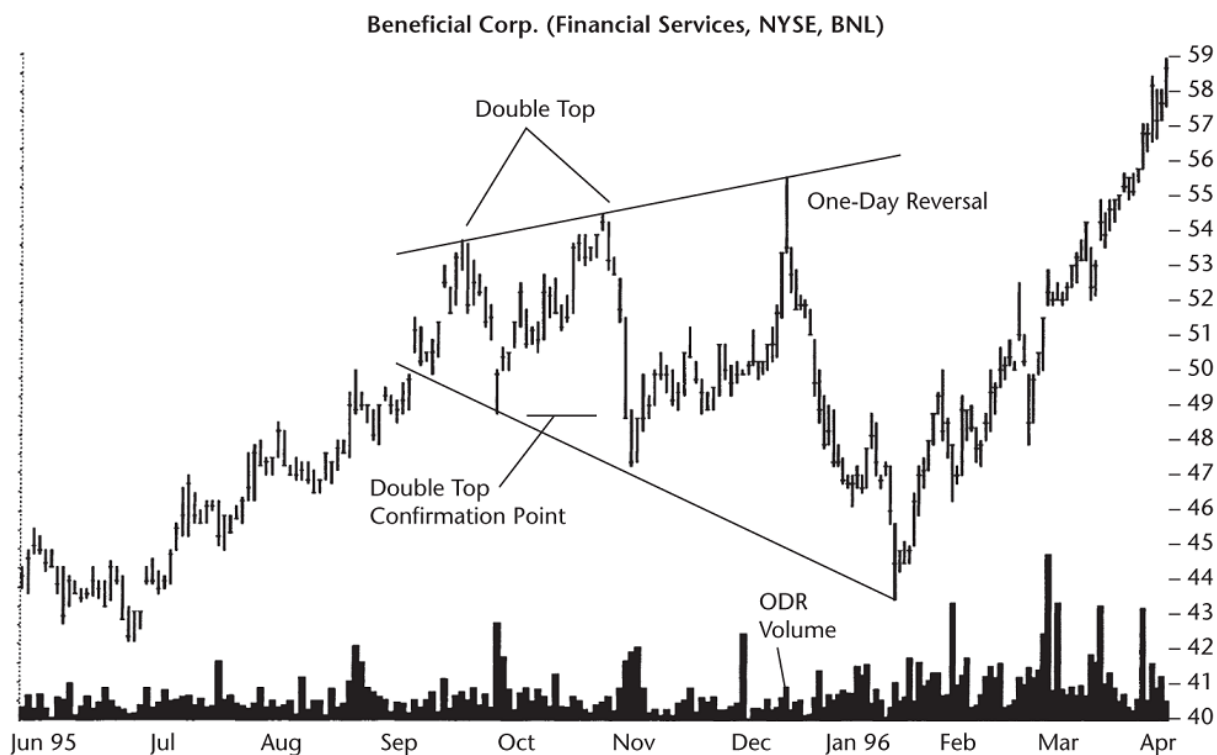


Figure 11.1 A potential triple top changed into a broadening formation. The one-day reversal appeared as the third peak after an unsustainably quick price rise. The broadening top formation marked a struggle between eager buyers and reluctant sellers at the lows and the quick-to-take-profit momentum players at the peaks.

For a tour of the chart pattern, look at [Figure 11.1](#). The stock began an uphill run in December 1994 and continued climbing to reach a high in mid-September at 53.75. Holders of the stock, enjoying the long run, decided to sell their shares and retire in Florida. The stock headed lower. On 25 September 1995, volume spiked upward and halted the decline. Investors, seeing a 40% retrace of their gains from the June peak, apparently thought the decline overdone and purchased the stock, sending price back up.

Price peaked at a higher level, 54.50, on 19 October. Astute traders, who suspected a double top was forming, promptly sold their holdings to maximize their gains, sending price tumbling. Price confirmed the double top when it fell below the confirmation price (below the lowest low between the two peaks), at 48.75.